CFA Level I Mock Exam 5.1 - Questions

Choose one answer for each question.

Question 1

To claim compliance with the GIPS standards, a firm is most likely required to:

A. have a verification of the firm's claim of compliance performed.

B. initially present a minimum of five years of compliant investment performance.

C. include all discretionary and non-discretionary fee-paying accounts in its composites.

Question 2

Tyler Cowen, CFA, retains all records relating to recommendations to buy or sell a security, but discards all notes that do not lead to a change in recommendations. Cowen's colleague Marie Thomsen, CFA, maintains all her records in electronic form but does not retain hard copies for some of her recommendations. Who has most likely violated the Standard relating to record retention?

A. Cowen only

B. Thomsen only

C. Both Cowen and Thomsen

Question 3

Renee Robinson, CFA, an independent contractor, acts as chief compliance officer for multiple firms, where she is responsible for overseeing adherence to security laws, firm policies, and the CFA Institute Standards of Professional Conduct. Robinson works remotely and determines her own hours. Her signed agreement with each firm outlines her responsibilities and discloses the potential conflicts of interest due to having multiple clients in the same role and industry. Is Robinson most likely in violation of any CFA Institute Standard of Professional Conduct?

A. No

B. Yes, with regard to having multiple clients

C. Yes, with regard to being an independent contractor

Question 4

Kathy Lau, CFA, is a portfolio manager. After a comprehensive analysis, Lau buys Top Technology Company (TTC) IPO for all her clients for whom the investment is appropriate, including her brother's fee-paying account. Lau does not have beneficial ownership in her brother's account. Has Lau violated the Standards by buying shares for her brother's account?

A. No

B. Yes, the Standard relating to disclosure of conflicts

C. Yes, the Standard relating to priority of transactions

Question 5

Ekta Prakash, CFA, works as an investment advisor for TXM Investments (TXM). Prakash advises a client to transfer $150,000 from a tax-deferred investment account to TXM's multi-cap fund. Prakash discloses to her client that withdrawals from the tax-deferred account will attract a penalty of $15,000 but assures the client that the cost can be recovered through better investment returns from TXM's fund. Prakash has violated the Standard(s) relating to:

A. only misrepresentation.

B. only loyalty, prudence, and care.

C. both misrepresentation and loyalty, prudence, and care.

Question 6

According to the GIPS standards, which of the following statements is most accurate? Verification:

A. ensures the accuracy of composite presentations.

B. is required to maintain compliance with the GIPS standards.

C. tests whether a firm has complied with composite construction requirements on a firm-wide basis.

Question 7

John Smith, CFA, was hired by the Dunlap Investment Consulting Group to manage equity investments for the Allied Company Defined Benefit Pension Plan. Smith is required to report quarterly performance results to Allied Company's board. Smith owes a primary duty of loyalty, prudence, and care to:

A. Allied Company employees.

B. Dunlap Investment Consulting Group.

C. The Allied Company Pension Plan Trustees.

Question 8

Shika Agarwal is a Level I candidate in the CFA program. Immediately after taking the exam, Agarwal posts in a social media group for CFA candidates arguing that the move to computer-based testing would have an adverse impact on the quality of the CFA program. She also states how surprised she was that the exam did not have quantitative questions on portfolio management. Has Agarwal violated the Standards?

A. No.

B. Yes, by stating that the exam did not have quantitative questions on portfolio management.

C. Yes, by arguing that the move to computer-based testing would have an adverse impact on the quality of the CFA program.

Question 9

Regarding ethical standards in the investment industry, which of the following is most accurate? CFA Institute:

A. requires charterholders to engage in their professional communities.

B. aims to build market integrity by calling for regulations that align the interests of firms and clients.

C. promotes the highest standards of ethics, education, and professional excellence for the ultimate benefit of shareholders.

Question 10

Jorge Fernandez, CFA, is an equity analyst at a brokerage company. He suspects his colleague is trading on shares prior to his research reports being distributed to clients. When Fernandez asks his colleague about it, he is told to mind his own business. To comply with the Standard relating to knowledge of law, Fernandez should most likely:

A. report his suspicions to his supervisor.

B. continue to observe his colleague's trades.

C. discuss his colleague's trades with other analysts at the firm.

Question 11

Century Investment Management, Inc., (CIM), promotes Pierre Ash, CFA, to a supervisory position. Ash cannot discharge his supervisory responsibilities because CIM's compliance system is inadequate. Ash declines in writing to accept the supervisory responsibility. Has Ash violated the Standards?

A. No

B. Yes, the Standard relating to loyalty, prudence and care

C. Yes, the Standard relating to responsibilities of supervisors

Question 12

Maria Perez, CFA, is a portfolio manager for an advisory firm that utilizes external mutual funds. The firm has a committee that selects external funds, using an analytical model to determine their choices. Although Perez has no reason to question the committee's research process, she does not like the committee's choice for a bond fund because it is not appropriate for all her clients. She researches and selects a different bond fund that better meets her clients' needs, but her manager tells her that she is not permitted to make independent fund purchase decisions. She then invests in the fund chosen by the committee for all of her clients. Has Perez most likely violated the Standards?

A. No

B. Yes, the Standard relating to suitability

C. Yes, the Standard relating to diligence and reasonable basis

Question 13

Nidhi Mehta, CFA, is a fund manager at XYZ Investments. Mehta's fund delivers excellent returns for the year. A large investor in the fund offers Mehta cash compensation along with free tickets to the opening night of a sold-out opera as a reward for the fund's performance. Firm policy requires employees to inform supervisors about monetary compensation received from clients. Mehta does not inform her supervisor as she only accepts the tickets and not the cash compensation. Has Mehta violated the Standards?

A. No

B. Yes, the Standard relating to fair dealing

C. Yes, the Standard relating to additional compensation arrangements

Question 14

Which of the following is a recommended procedure for compliance with the Standard relating to diligence and reasonable basis? Members should encourage their firms to:

A. consider the suitability of each investment solely on its own merits.

B. develop maximum levels of scenario testing of computer-based models used in evaluating financial instruments.

C. appoint an individual employee or a group of employees to determine that research reports have a reasonable and adequate basis.

Question 15

Faiza Hassan, CFA, is an equity analyst specializing in social media companies. Recently, she placed a "buy" rating on WeGab Corp. Following her initial report on the company, Hassan's brother has purchased a large amount of WeGab stock. Hassan has no beneficial ownership in her brother's account. Hassan has been asked to write a follow-up report on WeGab because of strong takeover rumors relating to the company. Will Hassan violate the Standards if she writes the follow-up report without disclosing her brother's shareholding in the company?

A. No

B. Yes, the Standard relating to avoid or disclose conflicts

C. Yes, the Standard relating to loyalty, prudence, and care

Question 16

Asset owners most likely benefit from a firm being GIPS compliant because it:

A. eliminates the need for in-depth due diligence only.

B. facilitates the understanding of the sources of risk and excess return only.

C. both eliminates the need for in-depth due diligence and facilitates the understanding of the sources of risk and excess return.

Question 17

Which of the following policy recommendations is consistent with the Standards?

Recommendation 1	Investment banking personnel should approve any changes in investment recommendations from the research side.
Recommendation 2	Firewalls should separate reporting structures for personnel on the research side and personnel on the investment banking side.
Recommendation 3	Compensation arrangements should link research analyst remuneration directly to investment banking assignments in which analysts may participate as team members.

A. Recommendation 1

B. Recommendation 2

C. Recommendation 3

Question 18

A member receives referral fees for recommending third-party services to clients. Before entering into an agreement with a new client, which of the following must the member disclose to the new client?

A. Flat fees only

B. In kind benefits only

C. Both flat fees and in kind benefits

Question 19

For a retail client's account to be included in a GIPS-compliant firm's composite, it will most likely be in a composite:

A. restricted to retail accounts.

B. composed of discretionary accounts.

C. with both fee-paying and non-fee-paying accounts.

Question 20

Feng Liu, CFA, is an investment manager. Liu organizes nonviolent demonstrations on weekends to fight climate change. After repeated demonstrations, Liu is arrested and convicted for obstructing public transit which is considered an act of civil disobedience in her country. Has Liu violated the Standards?

A. No

B. Yes, Liu has violated the Standard relating to loyalty

C. Yes, Liu has violated the Standard relating to misconduct

Question 21

Meghna Shah, CFA, manages a small-cap fund. Applying mosaic theory, Shah concludes that AK Tech (AKT) is overpriced and sells the fund's significant holding in AKT for a profit. Shah is aware that her transaction could impact AKT's price because the position is large enough to require disclosure to stock exchanges. A blog tracking stock exchange news reports Shah's transaction, which leads to 8% decline in AKT's price, causing losses to other investors. Has Shah violated the Standards?

A. No

B. Yes, the Standard relating to market manipulation

C. Yes, the Standard relating to material nonpublic information

Question 22

Frank Schneider, CFA, a securities analyst, applies for a new position. In his application, he makes two statements:

Statement 1	I passed all three CFA examinations in three consecutive attempts.
Statement 2	Based on my success in the CFA Program, I have a superior ability to analyze stocks compared to my peers.

Schneider has most likely violated the Standards by making:

A. Statement 1 only

B. Statement 2 only

C. Both Statement 1 and Statement 2

Question 23

Sue Kim, CFA, a US citizen, works as an analyst for a subsidiary of a US investment firm on a small island that attracts offshore investment accounts. Local securities laws allow insider trading. While having dinner with the CEO of a local company, Kim learns that the firm is in negotiations to be acquired for a significant premium. Would Kim most likely comply with the CFA Institute Standards if she purchased the company's shares for her client accounts?

A. No

B. Yes, because local laws allow insider trading

C. Yes, if she receives permission from her firm's compliance department

Question 24

A member works in a country where there is no regulation relating to investment performance standards. In the absence of any regulatory guidance, the member is required to communicate investment performance information to her clients in accordance with:

A. the GIPS standards.

B. the Code and Standards.

C. stricter of the GIPS standards and the Code and Standards.

Question 25

According to the Standard relating to preservation of confidentiality, if local laws require investment personnel to maintain confidentiality, is a member permitted to share confidential client information?

A. No

B. Yes, if the information concerns activities of a former client

C. Yes, if the information is provided in support of an investigation by the CFA Institute Professional Conduct Program into the member's conduct

Question 26

Which of the following member actions most likely violates the Standard relating to fair dealing?

A. Providing premium service levels to clients who pay higher fees

B. Selectively offering different service levels to prospective clients

C. Using different communication methods to recommend investments to clients

Question 27

Sara Perkin, CFA, sends a stock recommendation in capsule form to clients and adds that additional information is available upon request. Perkin's colleague, Tom Miller, CFA, uses a return forecasting model which has delivered positive results for his equity fund in each of the last seven years. Miller provides the model output in a marketing brochure and notes: "The fund will continue to deliver a positive return next year." Has the Standard relating to communication with clients and prospective clients been violated?

A. No

B. Yes, by Miller

C. Yes, by Perkin

Question 28

An inventory system that reduces average inventory without affecting sales will most likely reduce the:

A. quick ratio.

B. inventory turnover.

C. cash conversion cycle.

Question 29

With respect to fintech, which of the following statements is most accurate?

A. Big Data solves the issue of selection bias.

B. A neural network that learns a dataset too precisely may indicate overfitting.

C. Machine learning algorithms require assumptions on the underlying probability distribution of the data.

Question 30

In calculating basic and diluted EPS, if the numerators are the same but the denominators are different, the company:

A. split its stock during the year.

B. had stock options outstanding at year end.

C. had convertible debt outstanding at year end.

Question 31

Which of the following is most likely a feature of sole proprietorships?

A. Existence of a legal identity

B. Operational simplicity and flexibility

C. Taxation of business profits as corporate income

Question 32

A risky project has an initial cash outflow followed by cash inflows only. If the project's IRR is zero, the project's NPV is most likely:

A. negative.

B. zero.

C. positive.

Question 33

Which of the following is a common pitfall in capital allocation analysis?

A. Ignoring costs of internal financing

B. Performing analysis in nominal terms

C. Incorporating other companies' potential responses into the analysis

Question 34

Which of the following best reflects good corporate governance?

A. Dual-class share structure

B. Established brand reputation

C. Diversity, experience, and independence of directors

Question 35

Which of the following disclosures about intangible assets is required under US GAAP?

A. Why an asset is considered to have an indefinite life

B. Where amortization is included on the income statement

C. What the estimated amortization expense for the next five fiscal years will be

Question 36

An analyst forecasts the following results for a company:

Net profit margin	18%
Depreciation	$6 million
Decrease in working capital	$1.5 million
Increase in fixed capital	$6 million
Market share	9%

If total industry sales are forecasted to be $3.3 billion and the company has no interest expense, the company's forecasted free cash flow to the firm is closest to:

A. $43 million.

B. $52 million.

C. $55 million.

Question 37

Which of the following would best mitigate an analyst's confirmation bias when forecasting a firm's financial statements?

A. Speaking with management of the firm

B. Ignoring information about the firm's competitors

C. Reading the research from analysts with a negative opinion of the firm

Question 38

Because of a problem with the production process, a manufacturer produced a batch of defective finished goods with a total cost of $18,000. The sales value of this batch in its current condition is $6,000. With $3,000 of additional processing, however, the batch could be sold for $11,000. The value of the unsold inventory is closest to:

A. $8,000.

B. $9,000.

C. $11,000.

Question 39

A common market has a higher degree of economic integration than a(n):

A. customs union.

B. monetary union.

C. economic union.

Question 40

An analyst runs a simple linear regression using 35 months of data to assess a country's short-term interest rate as a function of its inflation rate, with the following results: Source Degrees of Freedom Sum of Squares Mean Square Regression 1 17.3009 17.3009 Error 33 20.2299 0.6130 Total 34 37.5308 — The percentage of the variation in the short-term interest rate that is explained by the inflation rate is closest to:

A. 46%.

B. 54%.

C. 61%.

Question 41

An asset management firm generated the following annual returns in their US large-cap equity portfolio: Year Net Return (%) 2008 –34.8 2009 32.2 2010 11.1 2011 –1.4 The 2012 return needed to achieve a trailing five-year geometric mean annualized return of 5% when calculated at the end of 2012 is closest to:

A. 17.9%.

B. 27.6%.

C. 35.2%.

Question 42

A central bank most likely:

A. will not lend money to banks facing shortages.

B. is a monopoly supplier of a country's currency.

C. does not manage a country's foreign currency reserves.

Question 43

A lessee entering into a long-term lease most likely:

A. faces a higher risk of asset obsolescence compared to purchasing the asset with cash.

B. reports a lower total asset turnover in the year of acquisition compared to purchasing the asset with cash.

C. reports a greater investing cash outflow in the year of acquisition compared to purchasing the asset with cash.

Question 44

An analyst gathers the following information about a company:

ROE	6%
ROA	4%
Average total assets	€600,000

Based only on this information, average total liabilities are:

A. €200,000.

B. €300,000.

C. €400,000.

Question 45

In contrast to non-probability sampling, probability sampling:

A. depends on factors other than probability considerations.

B. has a high risk of generating a non-representative sample.

C. gives every member of the population an equal chance of being selected.

Question 46

In which phase of the business cycle is actual output most likely below potential output?

A. Recovery

B. Slowdown

C. Expansion

Question 47

An analyst gathers the following information about a company that uses only common equity and debt in its capital structure:

Cost of debt, estimated by yield to maturity	5.1%
Cost of equity	9.8%
Percent of capital from debt	40.0%

If the company's marginal tax rate is 25%, the WACC is closest to:

A. 5.9%.

B. 7.4%.

C. 7.9%.

Question 48

The 'box' in a box and whisker plot represents the:

A. interquartile range.

B. range between the median and the arithmetic average.

C. range between the highest and lowest values of the distribution.

Question 49

An analyst gathers the following information (in £ thousands) about equipment owned by a company:

Carrying amount prior to impairment	36
Fair value	34
Selling costs	4
Undiscounted expected future cash flows	38
Discounted expected future cash flows	32

The equipment is considered impaired under:

A. IFRS only.

B. US GAAP only.

C. both IFRS and US GAAP.

Question 50

The reversal of a prior fiscal year inventory write-down is:

A. prohibited.

B. recognized as a reduction in cost of sales.

C. recognized as an increase in other operating income.

Question 51

The structural budget deficit is the deficit that exists if the economy:

A. is below full potential output.

B. is at full potential output.

C. is above full potential output.

Question 52

Two populations are normally distributed with unknown variances that are assumed to be equal. If a large independent random sample is drawn from each population, the most appropriate test statistic for testing the difference between the population means is the:

A. t-statistic.

B. z-statistic.

C. F-statistic.

Question 53

An analyst gathers the following information about a company's 3-year contract to produce computers:

Total sales price	€200,000
Estimated total costs	€100,000
Actual costs incurred in Year 1	€50,000
Total contracted number of computers to be produced	100 units
Total number of computers produced in Year 1	30 units

The output method provides an appropriate measure of progress towards completing the contract and performance obligations are satisfied over time. Assuming it is highly probable that revenue will not be subsequently reversed, revenue recognized in Year 1 is closest to:

A. €60,000.

B. €66,667.

C. €100,000.

Question 54

An analyst gathers the following USD/GBP exchange rate information:

USD/GBP spot rate	1.11721
USD/GBP 1-year forward rate	1.11851

USD/GBP is the amount of USD per 1 GBP. The 1-year forward points are closest to:

A. 1.2.

B. 13.0.

C. 25.0.

Question 55

Which of the following statements about financial reporting is most accurate?

A. Aggressive accounting choices in the current period may decrease the company's future reported earnings

B. High-quality financial reports contain information that is relevant, complete, conservative, and free from error

C. Conservative accounting choices help a company with good performance issue higher quality financial reports

Question 56

A mining company has received government approval for the development of a mining property and has also consulted with members of the local community near the development site throughout the project assessment process. The latter action is best described as an example of:

A. regulatory compliance.

B. stakeholder management.

C. principal–agent conflict mitigation.

Question 57

Under US GAAP, material income items that are unusual and infrequent are shown as part of:

A. continuing operations and presented separately.

B. continuing operations and not presented separately.

C. non-operating activities and not presented separately.

Question 58

A deferred tax liability could arise when:

A. interest is received in advance but taxed on a cash basis.

B. the carrying amount of an asset is higher than its tax base.

C. taxable income is higher than accounting profit due to temporary differences.

Question 59

Using long-term debt or equity to finance working capital needs most likely:

A. reduces the cost of financing working capital.

B. provides the opportunity to borrow only as needed.

C. reduces the need to access capital markets in times of stress.

Question 60

An analyst gathers the following information about a company:

Average variable cost per unit	$12.50
Selling price per unit	$37.50
Total fixed costs	$900,000

The minimum production level needed to continue operations over the long run is most likely:

A. 24,000 units.

B. 36,000 units.

C. 72,000 units.

Question 61

For an analyst estimating a company's target capital structure, which of the following methods is most appropriate?

A. Apply the company's current capital structure at book value weights

B. Use the average capital structure of a diversified group of companies

C. Infer the target capital structure by analyzing management statements on capital structure policy

Question 62

Which of the following statements about kurtosis is most accurate?

A. A fat-tailed distribution is referred to as platykurtic.

B. All distributions with kurtosis above zero are fat-tailed.

C. The calculation for kurtosis involves finding the average of deviations from the mean raised to the fourth power.

Question 63

An analyst gathers the following information about a company:

	Year 2	Year 1
Revenue	€725,000	€720,000
EBIT	€93,500	€91,500
Net income	€57,500	€58,000
Weighted average common shares outstanding during the year	650,000	635,000

Which of the following increased from Year 1 to Year 2?

A. Basic EPS

B. EBIT margin

C. Net profit margin

Question 64

Monetary policy:

A. aims to redistribute wealth within the economy.

B. adjusts taxation rates to influence growth in the economy.

C. aims to control the quantity of money and credit in an economy.

Question 65

An analyst examines the following quarterly returns for a client's portfolio:

Quarter	Return (%)
1	8
2	3
3	–2
4	10
5	8

Quarter	Return (%)
6	0
7	–3
8	12

If the target return is 5% per quarter, the target downside deviation is closest to:

A. 4.50%.

B. 11.92%.

C. 20.29%.

Question 66

An increase in a central bank's policy rate most likely leads to:

A. decreasing real domestic demand and increasing net external demand.

B. increasing real domestic demand and decreasing net external demand.

C. decreasing real domestic demand and decreasing net external demand.

Question 67

If an auditor is experiencing some scope limitation, but can still issue an opinion, the auditor most likely issues a(n):

A. adverse opinion.

B. qualified opinion.

C. disclaimer of opinion.

Question 68

An account has a stated annual interest rate of 3.6% with monthly compounding. The number of years it will take for an initial investment in the account to double is closest to:

A. 19.3.

B. 19.6.

C. 20.0.

Question 69

Whenever Variable X increases by four units, Variable Y increases by one unit. The correlation between X and Y is:

A. 0.25.

B. 0.75.

C. 1.00.

Question 70

The F-statistic for the test of fit of a simple linear regression is given by the:

A. mean square regression divided by the mean square error.

B. mean square regression divided by the sum of squares total.

C. sum of squares regression divided by the sum of squares total.

Question 71

An analyst gathers the following information (in € thousands) about a company:

	Year 2	Year 1
Revenue	2,400	2,000
Cost of sales	1,800	1,400
Ending accounts receivable	240	160

The number of days of sales outstanding for Year 2, based on a 365-day year, is closest to:

A. 30 days.

B. 33 days.

C. 41 days.

Question 72

With respect to national security, a country focusing on domestic economic factors most likely focuses on:

A. growing national wealth.

B. standardization of industries.

C. securing essential resources through trade.

Question 73

Nationalization of industries is an example of which type of geopolitical tool?

A. Financial

B. Economic

C. National security

Question 74

With respect to the statement of cash flows under the indirect method, which of the following will increase net cash provided by operating activities compared to net income? An increase in:

A. inventory.

B. accounts payable.

C. accounts receivable.

Question 75

A company's ability to support debt most likely improves with a(n):

A. increase in liquidity.

B. increase in leverage ratio.

C. decrease in interest coverage.

Question 76

According to Modigliani-Miller propositions, if a profitable company uses more debt in the presence of taxes, firm value will:

A. decrease.

B. remain the same.

C. increase.

Question 77

Capital restrictions most likely:

A. allow capital to earn the highest return.

B. help a country exercise control over its external balance.

C. lead to a higher rate of growth than would otherwise occur.

Question 78

A test of independence is based on the data in a contingency table with 5 rows and 4 columns. Using a nonparametric test statistic that is chi-square distributed, the number of degrees of freedom is:

A. 7.

B. 12.

C. 20.

Question 79

The demand curve of a perfectly competitive firm is:

A. vertical.

B. horizontal.

C. downward sloping.

Question 80

All else being equal, in periods of decreasing prices and constant inventory quantities, the FIFO inventory valuation method results in a higher:

A. current ratio than LIFO.

B. gross profit margin than LIFO.

C. total asset turnover than LIFO.

Question 81

The Herfindahl–Hirschman index (HHI) is more responsive than the concentration ratio to:

A. the elasticity of demand.

B. potential entrants to the market.

C. mergers among the existing companies in the market.

Question 82

A company uses both debt and equity financing as part of its capital structure. If the government reduces the corporate tax rate, the company's WACC will:

A. decrease.

B. remain the same.

C. increase.

Question 83

Selling a product at a discount in order to build scale best describes:

A. bundling.

B. tiered pricing.

C. penetration pricing.

Question 84

An investor plans to purchase an annuity for $1,500,000 in exactly 20 years to fund his retirement. The investor wants to save for that purchase by making 20 annual deposits into an account, starting today. If the account earns 4% per year, the annual deposit required to meet the investor's retirement goal is closest to:

A. $48,435.

B. $50,373.

C. $52,388.

Question 85

The liquidity premium is 2% and the real risk-free interest rate is 4%. According to economic theory, the rate that only reflects the time preferences of individuals for current versus future real consumption is:

A. 2%.

B. 4%.

C. 6%.

Question 86

To increase liquidity, a central bank most likely implements an interest rate policy that is:

A. contractionary.

B. neutral.

C. expansionary.

Question 87

A company reporting under US GAAP has production facilities with a net book value of $28.4 million. Recently, several competitors have entered its market, and the company now estimates that its production facilities will be able to generate cash flows of only $3 million per year for the next seven years. The firm has a cost of capital of 10%. Based on these recent events related to its production facilities, the company's financial statements will most likely report a:

A. $13.8 million reduction in operating cash flows.

B. $13.8 million impairment loss on the income statement.

C. $7.4 million reduction in the balance sheet carrying amount.

Question 88

An analyst gathers the following information (in € millions) about three companies operating in the same industry:

	Company 1	Company 2	Company 3
PP&E	100	150	120
Total liabilities and shareholders' equity	600	1,000	800
Total shareholders' equity	200	500	200

Applying vertical common-size balance sheet analysis, which company has the highest PP&E?

A. Company 1

B. Company 2

C. Company 3

Question 89

A potential benefit of effective corporate governance is:

A. an increase in creditors' required return.

B. the ability to mitigate the various risks underlying conflict of interest and agency problems.

C. the opportunity for managers to manage the company with a lower risk profile relative to shareholders' risk tolerance.

Question 90

With respect to the cash flow statement, under US GAAP, interest paid is reported as a(n):

A. investing activity.

B. financing activity.

C. operating activity.